

look for a make with a great reputation. If you buy from a dealer, ask for the car's inspection history and pay an independent mechanic to inspect it for you. To find a good one, consult your state auto association. If you buy from a private owner, run the car's VIN (vehicle identification number) at www.carfax.com to do a more thorough background check.

Some Advice if You Lease

If you can afford it, it is generally better to buy than lease a car. That said, if you can't come up with the down payment, leasing is an option you may want to consider. But you should know what you're getting into.

When you lease, you're essentially renting a car for a fixed number of years. Although it's most common to lease a car through a dealership, a dealer is actually just the middleman who works on behalf of a leasing company. As a leasing customer, you pay for the amount the vehicle *depreciates*, or loses value, during the lease period—typically three years—plus interest on this amount. Your monthly payments are based on the price of the car, your interest rate, the number of years in the leasing period, and the car's expected resale value at the end of the lease.

At the end of your contract, you have the option of buying the car you've been leasing. If you don't want it, you can usually return it and lease a new one—without the time, expense, and hassle of trying to sell a used car. But you won't have anything to show for the money you've put into your auto payments.

Look Before You Lease

Leasing typically makes sense for people who want to drive a new or almost-new car at all times. (Of course, if you're watching your money, that's not exactly a priority.) If you plan to keep your car for many years, you'll probably save money by buying. That's especially true if you drive a lot or aren't great about upkeep, because you'll have to pay for damages and extra mileage when your leasing contract is up.

Before you make a decision about buying or leasing a car, take some time to crunch the numbers. Several good calculators are available on